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Price Target: $59.25

VALUATION SUMMARY	
Sum of PV of UFCF, FY2027E–FY2030E ($000)	820,413
PV of terminal value ($000)	2,131,367
Enterprise value ($000)	**2,951,780**
Terminal value % of enterprise value	72.2%
Less: net debt ($000)	(1,363,130)
Less: noncontrolling interests ($000)	(95,708)
Equity value ($000)	**1,492,942**
Diluted shares outstanding	25,195,271
IMPLIED VALUE PER SHARE ($)	**$59.25**
Implied upside / (downside)	(21.0%)

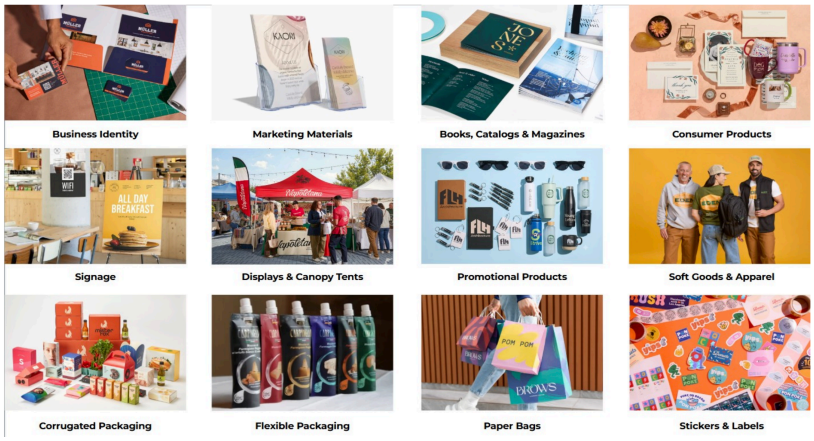
Line Item	FY2025	FY2026	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	3,403.1	3,736.6	4,033.6	4,176.1	4,324.0	4,470.0
Consensus revenue			*4,007.6*	*4,223.9*	*4,476.9*	*4,688.8*
Adjusted EBITDA	431.8	470.5	511.0	557.5	561.9	557.5
Consensus adjusted EBITDA			*527.5*	*617.1*	*652.8*	*688.1*
EPS	$0.58	$3.79	$4.19	$5.62	$5.93	$5.83
Consensus EPS			*$ 5.00*	*$ 7.68*	*$ 9.78*	*$ 11.21*
Free Cash Flow	145.0	116.4	218.0	257.6	275.0	273.6
Consensus adjusted FCF			*203.18*	*272.89*	*290.59*	*321.23*

Executive Summary

On the surface, Cimpress looks like a business on the right track: VistaPrint is growing spend per customer, margins are expanding, and management reiterates a path to $615mm of adjusted EBITDA by FY28. Beneath that story, the core business is weakening. I recommend a **short** on CMPR based on three points: **(1)** VistaPrint's customer base is shrinking (down ~6% since FY24), and neither management nor the Street is addressing it; **(2)** acquisition costs are growing faster than customer value, leaving a thin and shrinking cushion; and **(3)** AI is eroding the discovery and design advantages that support VistaPrint's premium margins. With only two covering analysts, both focused on per-customer growth, these issues are easy to overlook. Once VGP per customer can no longer grow faster than the customer base shrinks, I believe the growth story breaks, supporting a **$59.25 price target (~21% downside).**

Business Description

Cimpress plc (CMPR) is an Irish-domiciled holding company that sells customized physical marketing products and branded merchandise to small businesses at low order quantities, including business cards, marketing materials, signage, promotional products and apparel, and packaging. Its model is mass customization: aggregating millions of small orders into centralized, highly automated production. Robert Keane founded the business in 1995 and remains Founder, Chairman and CEO. Cimpress operates across five decentralized segments: VistaPrint, PrintBrothers, The Print Group, National Pen, and All Other Businesses. Europe and North America account for the majority of revenue, with production concentrated in Canada, the Netherlands, Mexico, Austria, France, and the US.





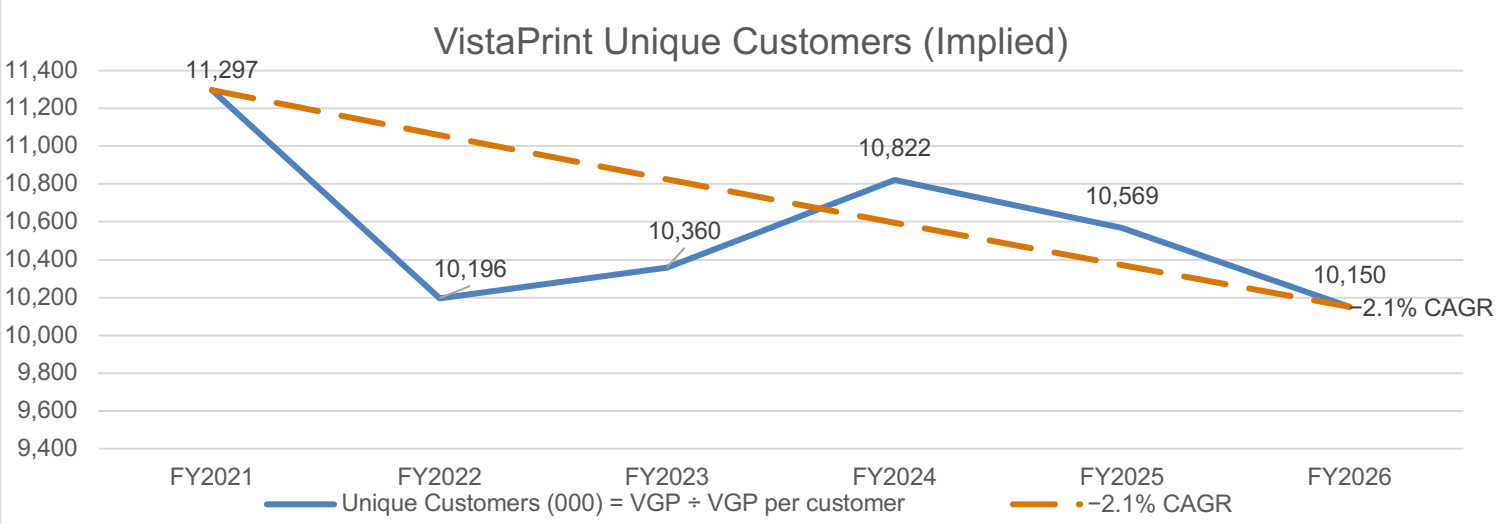
1. VistaPrint's customer base is shrinking and neither management nor the Street is addressing it

Management has framed VistaPrint's strategy around high-value customers and growing wallet share. Beneath that story, the customer base is shrinking. Implied unique customers have declined in three of the last five years, from **10.8M in FY24 to 10.2M in FY26**, and the decline is accelerating. As a result, VistaPrint's growth now hinges on the spend per customer.

Customer & spend build										
Fiscal Year Ended June 30,	**FY2021**	**FY2022**	**FY2023**	**FY2024**	**FY2025**	**FY2026**	**FY2027E**	**FY2028E**	**FY2029E**	**FY2030E**
Opening unique customers (000) = prior-year closing (r23)	11,115	11,297	10,196	10,360	10,822	10,569	10,150	9,867	9,654	9,479
Repeat customers (000) — FY12–15 disclosed; FY19+ = opening (r2	5,391	5,558	5,088	5,242	5,552	5,496	5,329	5,229	5,165	5,119
New (first-time) customers (000) — FY12–15 disclosed; FY19–26 = ol	5,906	4,638	5,272	5,580	5,017	4,654	4,538	4,425	4,314	4,206
= UNIQUE CUSTOMERS (000) = repeat + new; FY18 = observed (r	11,297	10,196	10,360	10,822	10,569	10,150	9,867	9,654	9,479	9,325

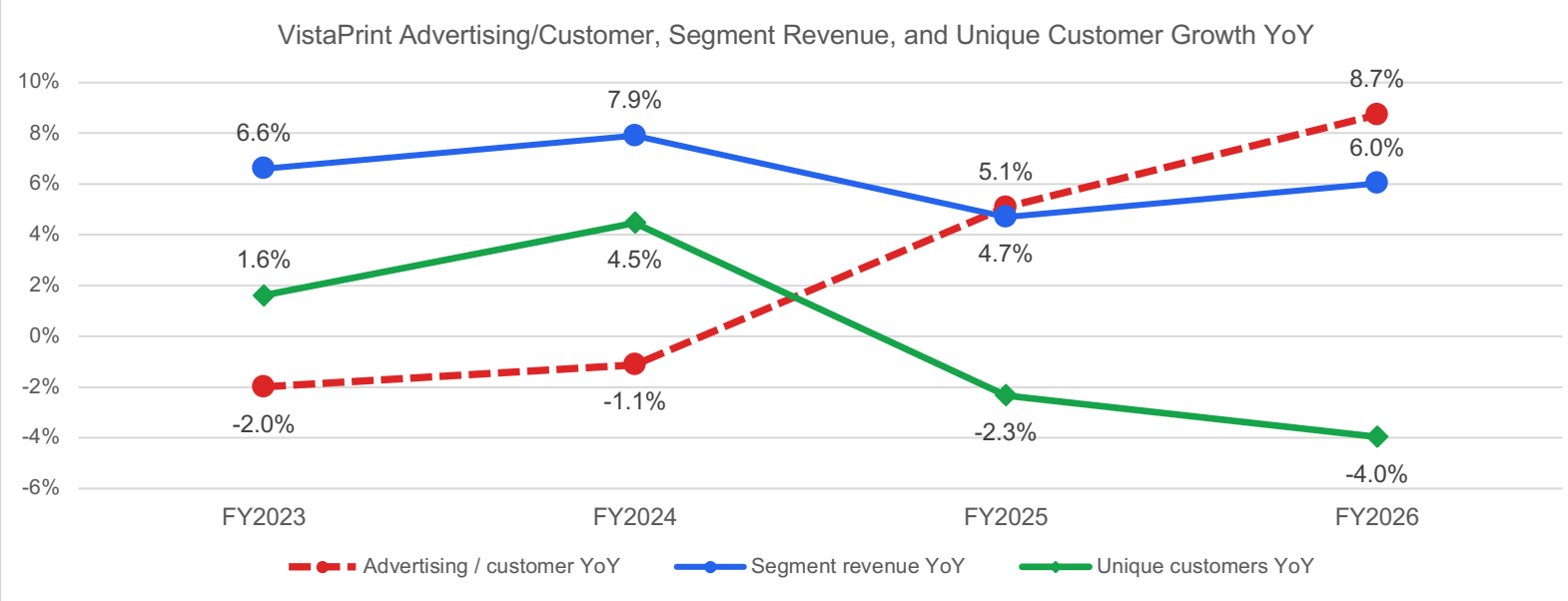
Management's disclosures have shifted away from the customer count. The 10-K MD&A cited customer growth as a driver in FY23 and FY24 *("increases in new and repeat customers"),* then dropped customer language entirely in FY25 and FY26 once the count turned negative. In Q1 FY26 management introduced a new headline KPI, VGP per customer, a ratio that a shrinking denominator flatters. The metric also excludes the segment's weakest units. The 10-K has described VistaPrint as serving roughly 11 million small businesses for three straight years while the implied base fell 6%. When pressed about whether growth was coming from new or existing customers, IR answered that growth was coming from "*wallet share gains… within our customer base,"* adding that it expected "*a little bit more on the revenue from existing customers than just pure new customers*," which aligns with the aforementioned analysis of growth masking the customer decline.

This trend forces Cimpress to become increasingly dependent on expanding wallet share and a narrow group of customers, which was framed in the Investor Presentation as going after higher-value customers with premium offerings. Management's own figures estimate the top 2% of VistaPrint customers generate around the same variable gross profit (**~$300mm)** as the bottom 80%, meaning any churn will adversely affect Cimpress if it cannot stop its shrinking base. The only large initiative aimed squarely at new customers is the recent Canva partnership that was launched in the past quarter, but with undisclosed terms regarding take rate, customer relationship ownership, or if Canva buyers will be counted as VistaPrint customers, the partnership will likely do more to obscure the shrinking base than to reverse the trend. Revenue growth depends on extracting more from an ever-smaller pool of existing customers and having to ensure that they don't churn, and without management acknowledging and game-planning, I believe this will continue manifesting in future quarters.

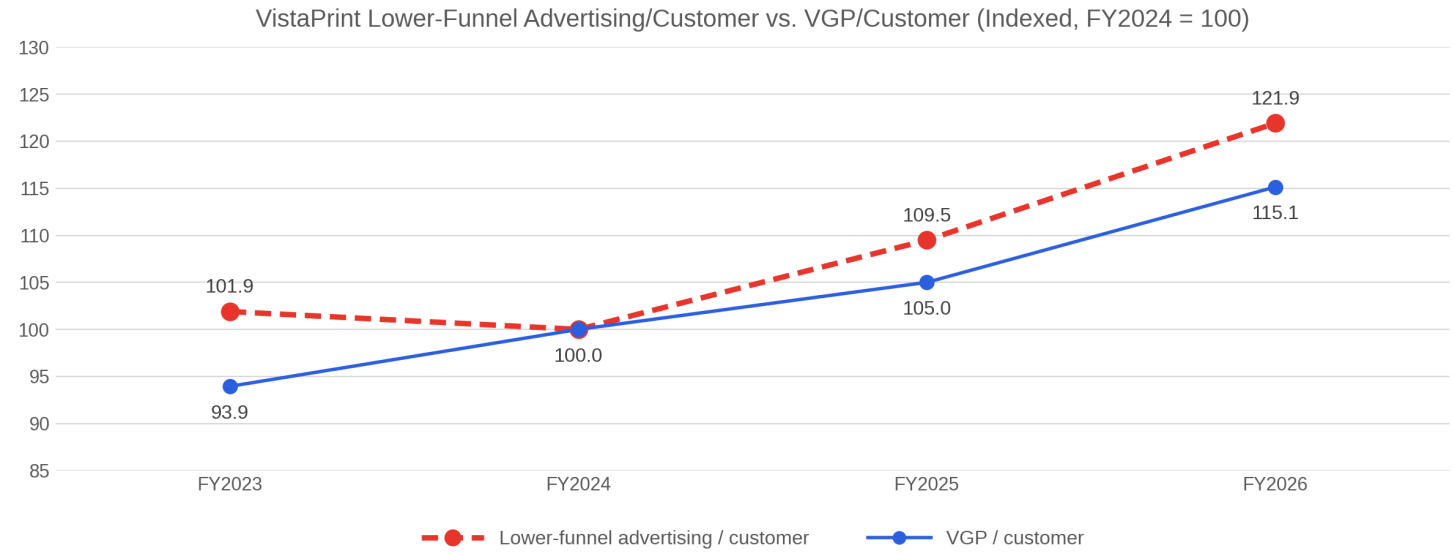


2. Acquisition costs are growing faster than customer value, leaving a thin and shrinking cushion

Since FY24, VistaPrint's advertising budget has grown only modestly **(+2.6% in FY25, +4.4% in FY26**), yet the customer base it supports has shrunk **(−2.3% and −4.0%).** As a result, advertising per unique customer has accelerated from **−1.1% in FY24 to +5.1% in FY25 and +8.7% in FY26, reaching $28.62**. Segment revenue growth has held steady at **~5–6%,** but only because each remaining customer is spending more: implied revenue per customer rose **10.4% in FY26 ($172.63 to $190.59).** VistaPrint is spending more each year to serve a shrinking set of customers and relying on those customers to spend more to keep revenue growing.



The pressure is sharpest in paid performance advertising. From FY24 to FY26, lower-funnel advertising per customer rose **22% ($18.51 to $22.56),** outpacing the **15%** growth in VGP per customer **($93.71 to $107.90),** and now consumes **20.9%** of each customer's VGP, up from **19.8%.** That spend is moving into less proven channels. Over **25%** now goes to social and video, and VistaPrint became a top ten advertiser in OpenAI's ad pilot before finishing the study that measures whether the spend is incremental.



Management's own plan reflects this. Of the **$157mm** EBITDA bridge from FY26 to the FY28 target, only **$36–44mm** comes from organic growth. The rest is cost savings, M&A, FX and start-up costs rolling off. VistaPrint VGP grows only while per-customer gains outrun the shrinking base (**+9.7%** vs. **−4.0%** in FY26), and ~2 pts of that gain was currency. Once that gap closes, management must either spend more to defend the base and compress margins, or pull back

and accept faster customer losses. Neither shows up in a plan that already assumes little organic growth, and I'd expect the multiple to reset once the market notices.

3. AI is eroding VistaPrint's discovery and design advantages

Management has framed AI as a tailwind: as design becomes “democratized”, more designs should mean more print demand, and Cimpress’s manufacturing scale makes it the default producer. I believe this misreads where VistaPrint makes its money. Its premium comes from owning where customers find a printer and where they design. That supports a **~55%** gross margin vs. **~32%** in Upload & Print, whose customers arrive with finished files and shop on price. AI is now taking over both of those roles.

The shift in top of funnel is already visible. Google rolled out AI Overviews broadly in the U.S. in May 2024. The next fiscal year, U.S. business card sales declined, which Cimpress blamed on "algorithm changes in the organic search channel," and it spent an extra **$7.1mm** on U.S. performance marketing. On queries with an AI Overview, organic click-through has fallen **61%** and paid click-through **68%**. Management has acknowledged where this leads, with VistaPrint's CEO calling LLMs "the most demanding customer and the most savvy customer we have ever had… They know every price." A buyer that sees every competitor's price in one answer will force a pricing reset. The exposure is largest in the most comparable products: business cards and return address labels carry a **73%** variable gross margin and are already declining 3**%**.

Design is also moving off-platform. Customers are increasingly designing in Canva or with gen-AI tools and arrive with finished files. That has pushed management to concede the model will become a “production destination for designs created across the entire landscape” and to scale back its own design acquisitions. The Canva partnership is the epitome of this: Canva owns the customer, the design and the checkout, and VistaPrint is left with production. As discovery and design become commodities, VistaPrint’s economics will erode toward Upload & Print.

Catalysts and Drivers

1. **Customer decline becomes visible (Q1 FY27 earnings, Oct 28, 2026, onward):** implied VistaPrint customers have fallen for eight straight quarters (about −6% in Q3–Q4 FY26). Any customer-count disclosure, or analyst pressure that forces management to address it, would reframe the stock from a wallet-share growth story to a shrinking-base story.

2. **VistaPrint margins compress as per-customer growth slows:** FY26 VGP per customer growth (+9.7%) had about 2 pts of currency help that fades in FY27. Meanwhile lower-funnel ad spend per customer is outpacing VGP per customer (+22% vs. +15% since FY24), and high-margin business cards keep declining. That undercuts the "advertising leverage" assumption in management's FY28 target.

3. **FY27 guide miss or a lower-quality path to FY28:** FY27 adjusted EBITDA below $520mm, or a $615mm FY28 target that relies more on cost cuts and M&A than organic growth, would show the core business isn't carrying the plan. With 2.9x net leverage and a $474mm equity deficit, there's little room for error.

Valuation

With customer declines, higher advertising costs, and VistaPrint's margins compressing due to AI threats, I use a DCF with a 5.0x 2030 EV/Adjusted EBITDA Exit Multiple to derive an implied share price of $59.25, representing 21% downside. A 2030 EV/EBITDA multiples cross-check lands at a similar value ($59.14), while a P/E cross-check implies further downside ($46.63, or 38%).

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MULTIPLES VALUATION CROSS CHECK	
EV/Adjusted EBITDA	
FY2030E Adjusted EBITDA	557,464
Multiple (x)	4.5x
Implied enterprise value ($000)	2,508,589
Less: FY2030E net debt at 6/30/2030 ($000)	(1,046,161)
Less: FY2030E noncontrolling interests ($000)	(103,708)
Implied equity value ($000)	**1,358,720**
FY2030E diluted shares (weighted average)	22,973,542
IMPLIED VALUE PER SHARE ($)	**$59.14**
Implied upside / (downside)	(21.2%)
Price/Earnings	
FY2030E net income attributable to Cimpress ($000)	133,919
FY2030E diluted shares (weighted average)	22,973,542
FY2030E diluted EPS ($)	$5.83
P/E multiple (x)	8.0x
IMPLIED VALUE PER SHARE ($)	**$46.63**
Implied upside / (downside)	(37.9%)

Peer Analysis

Cimpress is currently fairly valued vs. peers on a forward basis on the assumption that management delivers its EBITDA ramp. On trailing results, it trades at a 26% premium with twice the peer leverage.

Company Name	Market Cap ($M)	EV / Revenue (LTM)	EV / Revenue (FY1)	EV / Revenue (FY2)	EV / EBITDA (LTM)	EV / EBITDA (FY1)	EV / EBITDA (FY2)	P/E (LTM)	P/E (FY1)	P/E (FY2)	Total Debt / EBITDA	EBITDA Margin (LTM)
4imprint Group	$1,681	1.2x	1.1x	1.1x	11.0x	11.5x	11.1x	16.6x	17.0x	16.4x	0.0x	9.5%
Pitney Bowes	$2,246	2.1x	2.2x	2.2x	7.0x	7.1x	7.0x	13.3x	9.8x	9.0x	3.6x	29.1%
DATA Communications	$99	0.9x	0.8x	0.8x	6.4x	5.7x	5.0x	28.3x	10.4x	7.1x	4.1x	12.8%
Pebble Group	$115	0.7x	0.7x	0.7x	6.4x	5.9x	5.1x	22.7x	16.2x	13.6x	0.7x	9.3%
Peer Mean	$1,035	1.2x	1.2x	1.2x	7.7x	7.5x	7.0x	20.2x	13.4x	11.5x	2.1x	15.2%
Peer Median	$898	1.0x	1.0x	0.9x	6.7x	6.5x	6.0x	19.6x	13.3x	11.3x	2.1x	11.2%
Cimpress (CMPR)	$1,943	0.9x	0.9x	0.8x	8.5x	6.5x	5.6x	21.1x	15.8x	9.8x	4.1x	11.2%
Premium / (Discount) to Median	–	(8%)	(11%)	(13%)	26%	1%	(7%)	7%	19%	(13%)	–	–

Risks

1. **Canva partnership becomes a success story**
   a. Canva has 260mm+ monthly users, and the partnership is rolling out across 25+ countries. Economics haven't been disclosed, meaning investors are in the dark about take rate, how customers are counted, etc. If it proves favorable, the partnership could bring a new customer base into VistaPrint at scale and meaningfully lift its outlook.
2. **Strong per-customer growth negates the customer decline**
   a. VGP per customer grew 9.7% in FY26 and VGP from customers above $650 grew 17%. If per-customer value keeps compounding faster than the base shrinks, total VGP keeps growing, and management can credibly frame the decline as deliberate pruning of low-value customers, which would defuse the concern.
3. **AI turns out to be a tailwind rather than a competitive threat**
   a. Management argues AI makes design free and abundant, which shifts volume to whoever can produce physical products at scale. If this does play out, AI-created designs will grow total print demand, and Cimpress, with its manufacturing scale, will be the clear winner while lowering its own costs.
4. **High short interest opens the stock to a squeeze**

a. The stock has recently trended down and short interest on Cimpress is ~9.3% of float currently, making the existing short position already meaningful. A strong earnings print and/or guidance raise can drive a sharp run-up and force shorts to cover.

Management Team

Robert Keane, Chairman & CEO: founded VistaPrint in 1995 and has led it since. Previously consulted for Microsoft on its Publisher software.

Sean Quinn, EVP & CFO: CFO since October 2015; joined Cimpress in 2009 from KPMG.

Florian Baumgartner, EVP & CEO of VistaPrint: Running VistaPrint since February 2023; joined in 2019 to lead Vista's international business. Previous experience at Amazon and McKinsey.